growth, stifle innovation and depress overall economic expansion, noted the Economic Survey 2025. For smaller enterprises, management and financial bandwidth are already limited, and excessive regulation further constrains their ability to start, sustain and scale. Bureaucratic hurdles and outdated laws are another bane. For example, factory regulations make it cheaper for a business to operate two 150-worker factories than a single 300-worker facility.

The Centre has formed a high-level committee to unclog the maze of permissions and come out with reforms. These must be implemented on a war footing, says Rishi Agrawal, co-founder and CEO of TeamLease RegTech, a compliance management software company. A research report titled 'Jailed for Doing Business' by the firm found that Indian businesses are subject to 69,233 unique compliances, of which 26,134 carry imprisonment clauses. For MSMEs with over 150 staff, the compliance burden is between 500 and 900 regulations, costing Rs 12-18 lakh per year. The Jan Vishwas Bill 1.0 took a positive step by eliminating 113 jail provisions, and the upcoming 2.0 version aims to decriminalise 100 more. However, it's clearly not enough. ■

OFF THE MARK

The government has kept its FY26 disinvestment target at a much more modest Rs 47,000 crore. For FY25, the revised estimate stands at Rs 33,000 crore, compared to the budgeted estimate of Rs 50,000 crore. Department of Disinvestment and Public Asset Management secretary Arunish Chawla has said that they will move "very quickly" on asset monetisation this year, as per media reports. He said while there was no fixed disinvestment target, the aim was to optimise value by managing government assets.

Experts say that the Centre should revive its 2021 disinvestment plans, especially given the constraints on the fiscal front and the need to bring down the debt-to-GDP ratio over time. This will help provide fiscal space, as the value of government holdings in listed companies now exceeds Rs 40 lakh crore. The government, they say, should restrict ownership to assets that serve strategic economic interests. ■

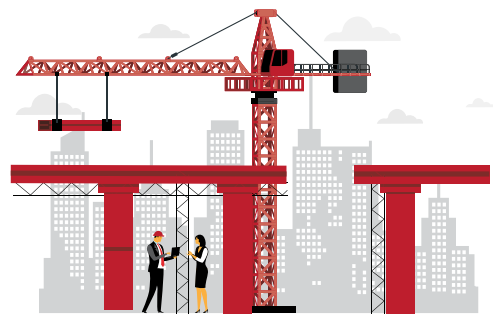
UNION BUDGET 2025-26

INFRASTRUCTURE

REFORM. INNOVATE. ACCELERATE

Protect the private sector's intellectual property. Use technology to enhance road safety. Create an autonomous aviation regulator. These are some of the bold reforms sectors like rail, highways and aviation need now to unlock their growth potential.

Take railways, for example. The National Rail Plan 2030 envisions increasing the railway share in goods carried to 45 per cent, up from the current 25-28 per cent. This requires creating capacity, massive investment and innovation to optimise processes. Obviously, no country with fiscal constraints can dream this big without the private sector's involvement. But in India, innovation by the private sector in railways is hostage to age-old policies. Any new technology developed must be handed over to the Research Designs and Standards Organisation, the R&D arm of Indian Railways. "This lack of IPR protection prevents global players and domestic companies from investing in R&D for new designs and modern railway solutions," says Indrajit Mookerjee, vice chairman of Texmaco Rail and Engineering, makers of wagons, coaches and locomotives.



Protect the private sector's intellectual property. Use tech to enhance road safety. Create an autonomous aviation regulator

STUMBLING BLOCK

The civil aviation sector—run by private players—has often demanded an overhaul of the sector watchdog Directorate General of Civil Aviation and to turn it into an autonomous body like the Federal Aviation Administration of the US or the European Union Aviation Safety Agency. There is a strong call for the implementation of strict service standards to reduce corruption and improve the overall efficiency of the aviation certification process. "An autonomous body like a Civil Aviation Authority, manned by experienced senior aviation professionals, deregulation and alignment of our regulations on the lines of ICAO [International Civil Aviation Organisation]...would reduce the delays and red tape," says Hemanth D.P., aviation expert and CEO, Asia Pacific Flight Training Academy.

In the end, it's all about reorienting priorities. Take the highways sector, a success story of the Modi government. The time is not far when managing existing highways will require more attention than building new ones. And that requires a pivot. "We foresee several reforms to reorient NHAI from a construction-driven agency to a highway management agency," says Raghav Madan, director at Deloitte India. He says prioritising safety measures through better road design and traffic enforcement will form the backbone of these reforms. Without them, these sectors will be denied the growth they deserve. ■